

Track Your Investments

While the 401(k) gives you an easy way to invest, you don't want to mentally check out of the whole process. Your 401(k) provider will keep you informed at least once a quarter of how your investments are doing. That quarterly update is your 401(k) statement, and it shows the state of your account just like your monthly bank statement does. Do not—and I repeat, *do not*—throw this statement away without looking at it. This report shows you what kind of progress you're making toward your millionaire goals. It's a scorecard that tells you whether or not your investments are working for you. Plus, as you get used to investing, it helps you identify market trends. You may see all kinds of financial ups and downs in the news, but these things take on new life when you see them show up on your personal investing statement. You may find out that half of what you see on TV is a lie. Or you may find out that current events really do impact your life on a direct, intimate level. All this works to turn you into a seasoned, well-informed investor—and that's what you want to be.

Of course, I need to throw in a warning here. There will be times when you open your statement and see that you actually *lost* money in a quarter. It stinks, but this is *going* to happen. Get ready for it. It's easy to look at your statement for one quarter and freak out if the market's down. I've seen people overreact in crazy ways, from cashing out their 401(k) to moving all their investments around on a whim. Don't do it! There will always be ups and downs in the stock market. Like anything else with investing, you need to focus on the long-term plan, not the short-term hiccup. So, when your statement comes, you need to open it, make sure everything is accurate, and take a minute to reaffirm what you're doing and why you're doing it. Then, whether the report has good news or bad news, fold it up and file it away. Like I often say, the market is like a roller coaster. It's a wild ride sometimes, but the only way you'll get hurt is if you jump off.